

Legacy strategy using variable annuities

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A variable annuity can provide for a rich family legacy. The following case study shows how the purchase of an annuity could provide a multi-generational legacy.

A case study benefitting four generations¹

This hypothetical case study demonstrates how an initial \$500,000 purchase of a MultiOption® Guide B annuity contract became a \$13.9 million lifetime benefit to children, grandchildren and great-grandchildren.

PART 1

Mark, 45 and Kathy, 45

Mark and Kathy have two children, Ben and Sophia, ages 18 and 16

They purchase a MultiOption Guide B variable annuity with an initial payment of \$500,000. This could be set up as a joint contract or spouse as beneficiary with both options allowing for spousal continuation of the contract.

Optional death benefit rider

To help improve contract values as they age, they purchase the Highest Anniversary Value II optional death benefit. With this rider, the beneficiary receives the greater of the guaranteed minimum death benefit or the highest anniversary value through age 80.

- Because optional death benefits can be added to an annuity without underwriting up to age 75, they may be beneficial to secure a legacy for those who are underinsured or uninsurable.

After 20 years, Mark dies at age 65; Kathy is now 65

- As joint owner, Kathy continues ownership of the annuity contract with the death benefit rider.
- Contract value of the annuity with a moderate hypothetical rate of return with Highest Anniversary Value II death benefit has grown from the \$500,000 initial purchase to \$1,307,847.²

1. This hypothetical case study is an example for illustrative purposes only and does not represent an actual case. It is not intended to predict or project investment results. Assumes no additional purchase payments or withdrawals.

2. This hypothetical assumes an average net rate of return of 5.2%. The hypothetical rates are not guaranteed. A lower rate of return would reduce the effects of deferring withdrawals, and a higher rate would increase them. This example reflects the contract charges of 2.27% and death benefit rider charges of 0.30%.

PART 2

After an additional 15 years, a total of 35 years from the initial purchase, Kathy dies at 80.

From the time of Mark's death to Kathy's, the death benefit of their MultiOption Guide B with the Highest Anniversary Value II rider has grown from \$1,307,847 to \$3,065,444.³ Because no distributions were taken throughout Mark and Kathy's lifetime, no taxes were paid on gains accumulated in the contract or at death.

PART 3

Ben, 53, and Sophia, 51

Ben has two children, ages 19 and 17

Sophia has a 24-year-old daughter, Natalie

Natalie has a 1-year-old daughter, Rosie, with special needs

This example shows both a scenario where the original owner's child, Ben, is the direct beneficiary and another example, where the original owner elects to skip a generation, leaving part of the death benefit to their grandchild, Natalie. Ben and Natalie are paid the death benefit of \$3,065,444, split equally between them. They have several options for what to do with the funds.

Ben's beneficiary options: Age 53

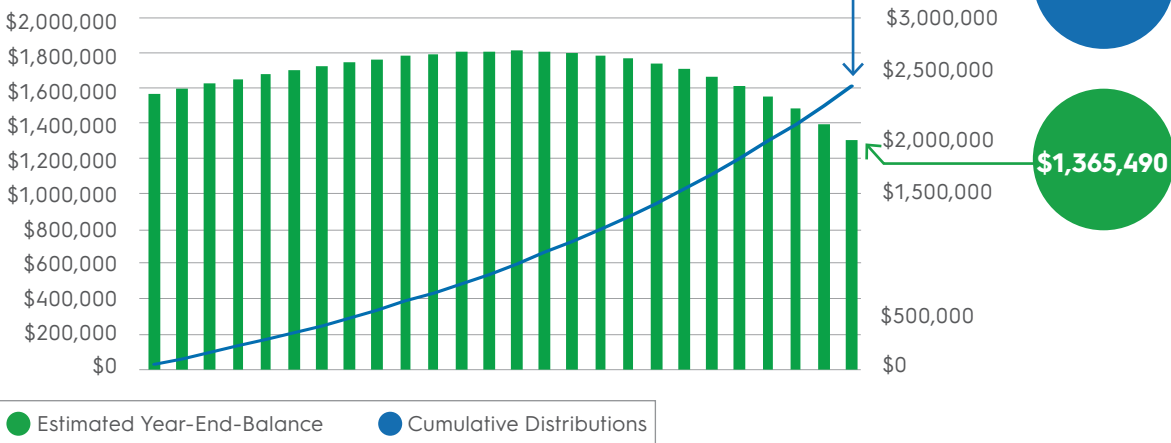
Ben has three options for his half of the death benefit.

1. Lump sum: \$1,532,722
2. Life only annuity income option: \$7,315/month⁴
3. Nonqualified Stretch



BEN'S NONQUALIFIED STRETCH OPTION:

Lifetime Estimated Year-End Balances and Cumulative Distributions



This hypothetical assumes a fixed rate of return of 5%. The hypothetical rates are not guaranteed. A lower rate of return would reduce the effects of deferring withdrawals, and a higher rate would increase them. A variable rate of return may produce different net results due to the impact of market fluctuations and timing of withdrawals.

If Ben lives until age 79, this hypothetical case study demonstrates \$2,416,947 in required distributions as income to Ben, leaving \$1,365,490 to his children. This is a total lifetime benefit to Ben and his family of \$3,792,437.

3. This hypothetical assumes an average variable net rate of return of 6.02%. The hypothetical rates are not guaranteed. A lower rate of return would reduce the effects of deferring withdrawals, and a higher rate would increase them. This example reflects the contract charges of 2.27% and death benefit rider charges of 0.30%. The Highest Anniversary Value II benefit does not exceed age 80.

4. The Hypothetical Annual Income displayed in the table assumes a 28% tax rate and a cost basis of \$250,000 for each income shown. The annual income amounts displayed are from our *IncomeToday! 2.0* Fixed Immediate Annuity and assume a single life annuity payout option as of 10/6/22. Payment options and rates are subject to change. Payments vary based on age and gender.

PART 4

Generation skipping

Natalie is a single parent with a 1-year-old daughter, Rosie, who has special needs. Prior to Kathy's death, Kathy and Sophia agreed to make Natalie a beneficiary of the contract to provide lifetime income for the ongoing support of Natalie and her child.

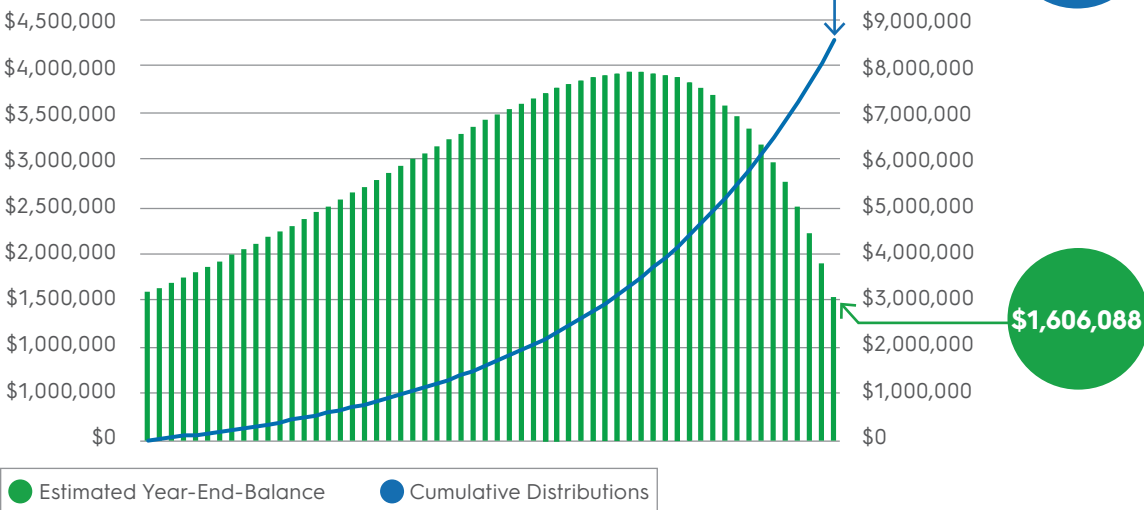
Natalie's beneficiary options: Age 24

1. Lump sum: \$1,532,722 2. Life only annuity income option: \$5,670/month⁴ 3. Nonqualified stretch option



NATALIE'S NONQUALIFIED STRETCH OPTION:

Lifetime Estimated Year-End Balances and Cumulative Distributions



This hypothetical assumes a fixed rate of return of 5%. The hypothetical rates are not guaranteed. A lower rate of return would reduce the effects of deferring withdrawals, and a higher rate would increase them. A variable rate of return may produce different net results due to the impact of market fluctuations and timing of withdrawals.

If Natalie lives until age 82, this hypothetical case study demonstrates \$8,543,992 in required distributions as income to Natalie, leaving \$1,606,088 for her child. This is a total lifetime benefit to Natalie and her family of \$10,150,054.⁵

Final Takeaway

Purchasing a tax-deferred variable annuity allowed Mark and Kathy the flexibility to leave a \$13,942,491 lifetime legacy to their children, grandchildren and great-grandchildren over a period of 93 years.⁵

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5. The distributions are shown in gross amounts. The distributions will be subject to income tax at the individual's ordinary income tax rate with a cost basis of \$250,000 for each of the named beneficiaries.

PART 5

LET'S DEFINE

- ✔ **Nonqualified stretch option:** The beneficiary of a nonqualified annuity elects annual required distributions based on their life expectancy using the lifetime “nonqualified stretch” payout option. The nonqualified stretch option allows for tax-deferred growth and income tax control by spreading distributions, and subsequently taxes owed on amounts above cost basis, over their lifetime. This option allows the beneficiary the flexibility to take additional amounts throughout their lifetime exceeding the required distribution, as well as the option to name a successor beneficiary for continued legacy planning.

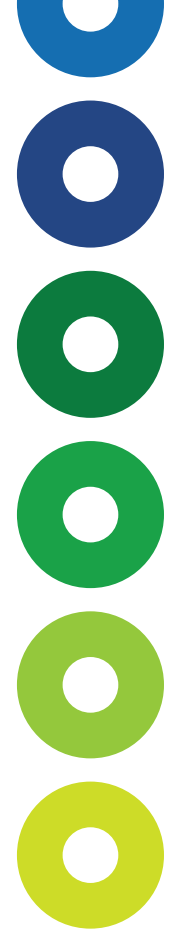
More advantages for your legacy planning strategy

- ✔ **Predetermined death benefit** – Allows the owner to restrict how distributions are made to beneficiaries, especially those who lack education or discipline to manage their assets. An owner could elect the nonqualified stretch option to provide lifetime income to their beneficiary while using tax-deferral for continued growth.
- ✔ **Tax-free 1035 exchange** – Once the beneficiary is the new owner of the contract, they may be able to conduct a tax-free 1035 exchange into a new annuity contract. They can look at the market to see if an annuity with features appropriate for their current investment and legacy goals is available. This offers owners more protection on their investment as the financial landscape changes in the years to come.



Learn more

To discuss more about legacy planning opportunities that an annuity may provide for your individual situation, contact your financial professional.



MultiOption Guide B Series variable annuity and the optional benefits may not be approved in all states and features may vary by state. Not available in New York. The guarantees in MultiOption Guide B are subject to the financial strength and claims-paying ability of Minnesota Life. The guarantees have no bearing on the performance of the variable investment options.

An annuity is intended to be a long-term, tax-deferred retirement vehicle. Earnings are taxable as ordinary income when distributed, and if withdrawn before age 59½, may be subject to a 10% federal tax penalty. If the annuity will fund an IRA or other tax qualified plan, the tax deferral feature offers no additional value. Qualified distributions from a Roth IRA are generally excluded from gross income, but taxes and penalties may apply to nonqualified distributions. Please consult a tax advisor for specific information. There are charges and expenses associated with annuities, such as deferred sales charges for early withdrawals. Variable annuities have additional expenses such as mortality and expense risk, administrative charge, investment management fees and rider fees. Variable annuities are subject to market fluctuation, investment risk and loss of principal.

IncomeToday! 2.0 is a single payment immediate annuity. The guarantees in *IncomeToday! 2.0* are subject to the financial strength and claims-paying ability of the issuing insurance company. You should thoroughly review your contract for specific details of the product features and costs.

Income payments and withdrawals from immediate annuities are generally taxable as ordinary income in the year in which taken. When purchased as part of an IRA or other qualified plan, the IRA or qualified plan already provides tax deferral of earnings, and the annuity contract does not provide any additional tax deferred treatment of earnings. Withdrawals taken from a qualified plan prior to age 59½ may incur a 10% federal tax penalty. Qualified distributions from a Roth IRA are generally excluded from gross income, but taxes and penalties may apply to non-qualified distributions.

Keep in mind that the Annuity Income Option, Frequency and Payment Dates cannot be changed once elected. Availability of some Period Certain durations may be limited.

These materials are hypothetical in nature and for illustrative purposes only. It cannot be used to project or predict individual client investment results.

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Policy form numbers: ICC12-70232, 12-70232, ICC12-70234, 12-70234, ICC21-70647, 21-70647

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F102298 Rev 3-2024 DOFU 11-2022
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